

HR Analytics
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Lecture 48: Performance Analytics -3

Dear participant, this is the session of employee performance analytics third session that we are in. So, in previous two sessions also we had discussed the matrix related to the employee performance, right, how you can measure, what are the issues related to the employee performance That is what we had discussed. In this session, we will discuss the balance scorecard approach. How you can use this balance scorecard approach to determine the overall achievement of the goal that organizational goal right so how we can determine that is the thing that we will understand. The second thing is the percentage of the goal that is related to the various categories like learning and development internal process and customer and the finance is aligned and achieved. That is what we will also discuss right.

Along with the balanced scorecard approach, we will discuss the performance measurement effectiveness in driving the business outcome. Right, that is what we will discuss, and balanced scorecard goals and results for the year, and right, that is what that is what also that relationship also that we will discuss right. So, that is these are the three things that we will discuss and we will understand in this. So, the key thing that we are going to discuss is the balanced scorecard approach.

So, first let us understand the performance measurement effectiveness in driving the outcome. So, performance measurement you can understand whatever how we are measuring performance, whether that performance measurement is helping employees to improve their performance in order to achieve the goals of the organization or not. If you are measuring the performance and after measuring the performance, you are giving the feedback, but that feedback is not helping employees to improve their performance in order to achieve the goal, then you can say that that performance measurement is not effective in the organization. So, what you can do here you can check the perception of the employees how they perceive, right? So, what are the business outcome that you want to achieve in the organization in term of the people? You want to motivate the employees, right? So, performance measurement, it is one of the objective that is having motivating the employees, right? It is one of the objectives that is having, right? The second

objective of performance management is to grow and develop the people, the employees, and the talent, right? Attracting the talent, retaining the talent, aligning with the business goals. So, these are some of the objectives that performance management of any organization may have in order to achieve the organizational goal.

So, now you need to check the perception of the people that employees who are working in the organization, how much the current performance management system is achieving these objectives right, and what their percentage is. So, now very effective to not effective, very effective to not effective on this scale you can identify and then you can see let us assume 10,000 employees are there in the organization then out of 10,000 what is the percentage of the very effective. What is the percentage of the very effective people? Is there who believes that these are the objectives that is achieved by the current performance management system? And then you can see the percentage of the overall organizational goal achievement. That is what we will discuss in the next slide, how you can calculate, and you can mention it here. So, here you can see the effectiveness of how many people believe that the current performance management measurement is motivating talent.

So, you can see the percentage or number of both things that you can see, and then you can see the percentage of goal achievement. And then you can draw the relationship between these two variables. What people think? If the perception is increases, whether the percentage of goal achievement is increasing or decreasing. If the percentage is very effective, so measurement is effective, then goal achievement should also be increasing. So, that is the common sense says.

So, if it is happening then you are measuring the right thing in the employees. If it is not happening then you can say that you need to improve your performance measurement. So, sometimes, you have to change the skill set that you are measuring, and sometimes, you have to change the method of the way you are measuring. So, sometimes you measure through the results; sometimes you measure through the personality, and sometimes you are measuring the behaviour. So, the behavioural approach is there, the trade approach is there, and the result approach is there.

So, whatever you are measuring that approach you need to change if these things are not aligned. So, you will be able to track where is the problem. So, very effective how many people say that these are the business outcomes. So, whatever business I am not saying these are the only business outcome. So, you decide the outcome that your organization wants to achieve.

So, these are some of the outcomes that I have mentioned related to learning and

development. You can mention the overall organizational goal, and then you can ask the question of whether this current performance measurement system or current performance management system is helping you to achieve these business goals or not. Most of the people say yes very effective it helps us to achieve these business goals and then you see the percentage of organizational goal achievement if it is a positive correlation is there then you can see yes it is a good thing if it is negative then you need to think about changing it also the simple line that you can write here percentage of goal achievement and percentage of the average percentage of the people who believes that that current performance management system in helping us to achieve the business goal So, x axis and y axis you can mention. So, here you can write the percentage of goal achievement and the percentage of people who perceive that the current management's performance measurement is very effective. So, that is how you can measure the effectiveness of the performance measurement system in your organization.

The next thing that I was talking about was the balanced scorecard approach. So, it is a very important approach. So, through this you can measure the performance of the organization. So, some of the indicators that you can use as metrics, that you can use as metrics. So that is why it is important to discuss this balanced scorecard approach.

So what you can see, the key, so here you can see the three columns that you can see here, right. So you can see the key phases in the first column, the second is the key stakeholders, third and strategic indication right? So, what you will see the key phases. So, four phases are there it starts from the learning and development, L and D that is what you will see internal process right internal process that is what you will see after that you will see customer right and then you will see finance. In the right column, you can see the key stakeholders. So, in learning and development, you will see the employee's rights and internal processes related to the supply chain and marketing-related people and finance-related people and their responsibilities.

So, here you will see so that these are the key people related to these all four step. And next, in our next column, you can see the strategic indicators, right? So, these indicators that you will see the two types of indicators that I have mentioned here: one is the lag indicator, and the other one is the lead indicator. So, the lag indicator is based on past performance, so you can see a return on equity. So, you have already performed it, you have data, and that will indicate to you how well you are performing or revenue growth. So, you have already got the revenue.

Lead indicator talks about the future. So, here you can say new or existing product revenue mix. So, that you are going to develop, so that is the lead indicator. So, these are the indicators that you can use to measure the goal achievement because these lag

indicators and lead indicators they will be having certain numbers and through these numbers you will be able to assess the goal achievement related to the each phase and then you can calculate for each phase. What is the percentage of the goal that you have achieved? So, let so these are the phases that I already discussed.

So, now let you will see the all phases. So, here from here let us start. So, here you will see the internal learning and growth. So, here employee are the key. So, you have decided 200 trainings that you have to give in a year.

So, related to the KRA, so here you will write a KRA, so write key result area. So, training is the key result area right and in a goal that you have decided 200 trainings you will provide this year to your employees. So, this is the goal right. So, 200 trainings that you will provide in a this particular year to your employees this is the goal and KRS every month you will provide 30 trainings to your employee. This is the KPI or you can say that this is the indicator.

So, now you can check after 12 months or after a year whether these trainings were organized by the 30 or not if 30 per month is there then you can see how what is the percentage of your goal is achieved after the 12 months right so 12 months that you will multiply, it should be 360. So, 360 and let us revise this goal, goal also let us take the 360. So, every month that you have to organize 30. So, if you will organize the 30, then you will get 360, then only you will be able to achieve the 360. So, what, so how many training that you are organizing every week? So, here you can see that this indicators are having number the 30 per month, per week, per day So, per day one training has to be conducted.

So, have you conducted the training per day? If you have conducted one, then you can say that 100 percent goal is achieved. If you are unable to conduct one training per day, then then you can say how many days you have not conducted, right? So, that will tell you the percentage of goal achievement. So, 80 percent, 60 percent, 70 percent, that is how you can calculate. So, the goal is divided by the KPI in a particular year or month, right? So, 360, so goal was 360. For example, if you have conducted 300, so now multiply by 100.

So, that is how you can calculate the percentage of achievement, percentage of achievement that is what you can, that is how you can calculate, sorry, you have to 300 divided by 360 multiply by 100. So, that is how you will calculate the percentage. What percentage that you have achieved right. So, that is how you can calculate. So, in the similarly for learning and development internal process you will have a KRA and related to the KRA you will develop certain goals and then in order to achieve those goals you

will develop the indicator and these indicators will have the number.

That is the one thing so whatever goal that you are developing that should have the number. Now, what you can do is that four phases are there, so learning and development have to be linked with the internal process. So, whatever training program that you have decided to organize it you should see what are the problems that are there in the internal process right. So, related to that you will organize the training program. After the training program you can see whether those problems have reduced or not like for example one of the thing that you can see the time cost which is saved right after the trainings that by the employees.

Then number in a marketing you can see the customer complaints right in finance that revenue has gone up. So, that is how you can link internal learning go KRAs with the internal process, internal process KRA with the customer, customer KRAs with the finance one. So, that is how you can link the all four KRAs. So, that is that is very very important thing. So, that is how you will see whatever initiative that you are taking related to the employee.

It will have an impact on the internal process, the internal process will have an impact on the customer, and customers will have an impact on the finances. So, that is how you can align all goals in one direction, and you can ensure that that organization is focusing on only one direction, which is the one thing. The second thing is that by developing this balanced scorecard, you can align, or you can use this balanced scorecard for developing the goal-setting process of the individual. And then for individual you can give certain KRAs and you can do the goal setting related to that right and that is how individual goals are linked with the organizational goal. So, now I hope you would have understood the linking process also, aligning process also and how to develop these goals and how to have the number in the indicator.

If you are not having the number in the indicator then that indicator is not the valid indicator. So, whatever indicator that you are developing here it must have the number because without number that indicator will not be able to assess the goal achievement right. So, you have the number then only you will be able to achieve. So, that number I already gave you the example number of training that is what you can say that number in the form of amount that you can put it. If you have to make the selection, then you can say that every month, I have to select two persons in this particular department, but so then two is the number there.

So, every KPI or every indicator will have a number then only you will be able to assess the goal achievement percentage. So that is what you need to decide it. So I hope the

moment you have reached here, you have developed the KRAs, goals and KPIs and then you can track the organizational activities according to that. At the year's end, you can decide how many goals is, and what percentage of the goal has been achieved. So this is the metrics that you can follow.

So, what you can do here like financial perspective is there. So, now you can see key result areas related to each. You can mention the goals, what is the major, what is the goal and weightage within what is the weightage and percentage of goal achievement. Now, you can all goals average that you can tell that will tell you the percentage of goal achieved for the financial area. I hope you can understand all goals average percentage of goal achieved and then divided by the number of goals that you have.

So, that will give you the average goal achieved for a particular perspective related to the finance, customer, people right. Wherever the poor are in that department, you need to think about it, whether it is related to the customer, people, process or finances. One more thing that you need to understand these all goals are interlinked. So, if employee department is not achieving the goal then it will impact the internal processes also. Processes goal are not achieved then it will impact the customer also right that is what you will see but you can see the percentage of.

So if percentage of achievement is higher in the people then it should reflect in the a process also. Process will reflect in the customer, customer will reflect in the finance. So that is what you can see so but whatever goals that you have calculated you can check to what extent they have been achieved and then you can divide by the number of goals. So, that is how you will be able to understand. So, financial perspective what is the average percentage of the goal achieved, in customer perspective what is the average percentage of the goal achieved, in process perspective what is the percentage of the goal achieved and in the people perspective what is the percentage of the goal achieved.

So, I hope you would have understood how to calculate the average percentage of the goal achieved, and then you can put the overall results in finance. For example, let us take 70 per cent, the customer let us take 80 per cent, process let us take the example of 75 per cent and people 80 per cent. So this is so now you can aggregate it, add it and then you can tell what is the percentage of the goal achievement in term of the organization. Right so if you remember the session from where I started how you can calculate the percentage of the goal achievement for an organization and you can tell whatever goal that organization has set what is the percentage of the goal achievement and this is the data that you can use to tell us the success of your organization right whether it is above the average right and what is the percentage of the goal that you have achieved that is what you can calculate in term of the for your organization right. Then you can use this

data for the internal branding within the organization this time we were about to achieve eighty percent sixty percent seventy percent we need to work hard on whatever message that you want to give through this exercise but in reality you will be able to understand what is the percentage of the goal that your organization has achieved.

So, that is how you can use this balanced score card to understand two things: how to link the individual goal with the organizational goal through the balanced score card. Second thing, second important thing you will be able to understand what is the percentage of the goal that is achieved by the organization. Third important thing that you can use the all indicator as a KPI. So, whether it is related to the people, process, customer and finance. So, whatever KPI that you have developed related to these four perspectives, you can use it as a matrix, and you can collect the data, you can convert it, and analyze it.

So, in HR analytics, I say whatever metrics that you have developed related to the people. So, if you are making the decision related to recruitment, selection, training, development, performance and compensation, all goals will come under the people. So, whatever metrics that you are using in the balanced scorecard, the same metrics you can use in HR analytics also. So, I hope you would have understood how to use this balanced scorecard approach in the HR analytics. Thank you.